

BPG-07 · BEST PRACTICE GUIDES

Accruals and cut-off discipline

Why a missed accrual flatters this month and invents an overrun next month

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PROJECT CONTROLS INSTITUTE GLOBAL, INC.
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— Summary

How to close a reporting period so the cost figure describes the work done rather than the invoices processed: the three cost states, what must be accrued and from which source, how to size an accrual when the subcontractor has not certified, reversal discipline, the cut-off calendar and what happens when it is compressed. Includes a worked month-end showing the cost performance index with and without the accrual, the phantom overrun it creates in the following period, and the effect on the forecast.

— About this document

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Accruals and cut-off discipline

arrive.

In one paragraph. How to close a reporting period so the cost figure describes the work done rather than the invoices processed: the three cost states, what must be accrued and from which source, how to size an accrual when the subcontractor has not certified, reversal discipline, the cut-off calendar and what happens when it is compressed. Includes a worked month-end showing the cost performance index with and without the accrual, the phantom overrun it creates in the following period, and the effect on the forecast.

Who this is for. Cost engineers and cost managers who close a period; project accountants and finance business partners who own the ledger side of it; project managers who have been told the overrun is "a timing thing" and want to know whether that is true.

— 1. The month does not end when the calendar does

A project's cost ledger is a record of invoices processed. A project's cost report is meant to be a record of resources consumed. These are different things, and the gap between them is a matter of weeks: a subcontractor works through March, certifies in early April, invoices mid-April and is paid in May. Read the ledger at the end of March and none of that work exists.

The accrual is the entry that closes the gap. It says: this work has been done, we owe for it, and the cost belongs to the period in which the work happened rather than the period in which the paperwork caught up.

Everything else in this guide follows from one observation. Because earned value measures work done at budgeted cost, comparing it to a cost figure that excludes work done but not invoiced compares two different things — and produces an index that is not slightly wrong but systematically flattering, in every period, by an amount that varies with invoice timing. §9 shows a twenty-four-point swing on a single control account from one month's accruals.

— 2. Three states, and where the accrual sits

Cost passes through three states, and control depends on tracking all three rather than only the last.

Commitment. A purchase order or subcontract is raised. Nothing has been received and nothing paid, but the organisation is exposed. Commitments are the earliest signal of future spend and the only one that arrives before the money does.

Accrual. Goods or services have been received, so the cost has been incurred, but no invoice has been processed. The accrual recognises the incurred cost in the period the work happened.

Actual. The invoice has been received and posted. The cost is in the ledger.

The cost figure a controls report needs is **actuals plus accruals** — everything incurred, whether or not it has been billed. Add open commitments and an estimate for uncommitted remaining scope and you have the forecast. Reporting invoices alone understates cost by the accrual and ignores the commitment entirely, which is a blind spot in both directions at once.

The transaction-state segment of the code of accounts is what makes these three separable in the first place; [BPG-03 – Cost breakdown structure and the code of accounts](#) covers its design.

— 3. What has to be accrued

Five categories account for nearly all of it.

Goods received not invoiced. Materials and equipment delivered and receipted before the cut-off, with the invoice still to arrive. This is the most reliable accrual because it comes straight from the goods receipt records, and it is the one most systems can produce without judgement.

Work performed by subcontractors but not yet certified or billed. The largest and hardest category. Certification cycles rarely align with the reporting cut-off, so at any month end there is a slice of subcontract work that is unambiguously done and entirely absent from the ledger.

Labour worked after the payroll extract. The last few days of the month, where the timesheet system's cut-off does not match the reporting cut-off. Small per day, material per month, and completely predictable — which means it can be computed rather than estimated.

Services consumed and not billed. Plant hire, temporary utilities, professional services, freight in transit under terms that have already transferred the cost.

Adjustments already known. A credit note agreed but not issued, a rejected delivery still sitting in the receipt records, a rate correction agreed but not yet applied. These accrue in the direction that makes the period true, which is sometimes negative.

What must not be accrued is work that has not been performed. An accrual for a cost that is expected but not yet incurred is a provision or a forecast, not an accrual, and mixing the two destroys the meaning of both. The accounting frameworks in use internationally draw this line carefully — the distinction between a liability whose timing or amount is uncertain and an accrual for goods or services already received is fundamental to standards such as IAS 37 — and the exact recognition point, along with the treatment of the resulting balances for tax, varies by framework and by jurisdiction. The controls professional's job is not to determine the accounting treatment but to supply an accurate statement of what was received before the cut-off, and to agree the boundary with finance rather than assume it.

— 4. Sizing the accrual

Sources, in descending order of reliability. Use the highest one available for each item and record which you used, because the reliability of the accrual is part of the information.

1. **A certified quantity or milestone.** The work has been measured and signed, only the invoice is missing. Effectively exact.
2. **A goods receipt.** Quantity received against a priced purchase order. Exact for materials.
3. **A rate multiplied by a measured quantity.** Contract rate against a surveyed quantity — the standard method where certification is behind.

4. **A rate multiplied by a recorded input.** Hours from timesheets or plant records at agreed rates. Reliable for labour, less so where the input does not translate directly into value.
5. **Progress applied to a package value.** The package's earned percentage multiplied by its value, where nothing more direct exists. Weakest, because it inherits any error in the progress measurement — see [BPG-06 – Progress measurement and rules of credit](#).
6. **A judgement by the responsible manager.** Acceptable only with a written basis, and it should be the exception. An accrual nobody can reconstruct is a number, not a measurement.

Two rules. **Accrue to the receipt, not to the document.** The date that matters is when the goods or services were received, not the date on the invoice or the date it was entered. An automated accrual driven by document date reproduces a cut-off error at scale. And **do not net accruals against retentions or contra-charges** unless the contract makes them a single obligation — netting hides both numbers and makes the cash forecast in [BPG-13 – Cash flow forecasting](#) unreliable.

— 5. Reversal discipline

Every accrual is reversed in the following period, and the actual invoice is posted in its place. This sounds mechanical and is where most accrual processes fail.

The failure mode is the accrual that is not reversed, so that when the invoice arrives the cost is recorded twice. It usually happens where accruals are entered manually into a controls spreadsheet rather than as reversing journals in a system, and it is detected by a discipline rather than by a control: maintain an **accrual register** with one row per accrual carrying the period raised, the basis, the source used, the value, the period reversed, and the actual value when it landed.

That last column is the one that earns the register its place, because it gives an **accrual accuracy** measure: compare each accrual to the invoice that replaced it. Persistent under-accrual on one subcontract is a signal about that subcontractor's certification lag; persistent under-accrual across the project is a signal about the process. Neither is visible without the comparison, and both change what you do next month.

— 6. The cut-off calendar, and the pressure on it

A cut-off is a date, published in advance, to which every source reports: cost extraction, goods receipts, timesheets, subcontract certification, schedule progress and field quantities. It works only if it is the same date for all of them.

The working-day sequence from cut-off to issue is designed backwards from the meeting that receives the report, and [BPG-01 – Building a project controls function from zero](#) works that calendar through. The relevant point here is what happens under compression. When the reporting deadline moves earlier, the steps with external deadlines — data extraction, the report issue itself — cannot move. The step with no external deadline is accrual determination, so that is the one that gets shortened, and the shortening takes the form of using a weaker source from §4 or skipping the smaller categories entirely.

The result is not a slightly less precise report. It is a report whose cost figure has moved systematically in one direction, because every omitted accrual understates cost and none overstates it.

Two defences are worth building in. **Pre-cut-off preparation:** subcontract quantities surveyed in the last week of the period rather than the first week of the next, and goods-receipt exceptions cleared before the cut-off rather than after. And a **standing de minimis**, agreed in advance, below which items are not individually accrued — which converts an implicit omission into an explicit, bounded and disclosed one.

— 7. Two accruals, one reconciliation

The accrual the project needs and the accrual the statutory accounts need are not always the same number, and pretending otherwise causes more argument than accepting it.

The project's accrual serves management control. It wants completeness at a fine granularity, at control-account level, on a fixed monthly rhythm, and it will accept a defensible estimate where an exact figure is unavailable. The statutory accrual serves financial reporting. It applies the recognition criteria of the governing framework, is subject to audit, and applies materiality thresholds set for the entity as a whole rather than for one project.

The two should be **reconciled, not forced to converge**. Where the project accrues something finance does not, the difference should be explainable in one line — usually a materiality threshold or a recognition timing difference. A reconciliation that cannot be explained is the finding; an unreconciled difference written off as "timing" every month for a year is how a real problem hides.

— 8. How this goes wrong

The accrual is skipped because the period was tight. One month's omission produces a flattering index and a decision taken on it. The following month, when the invoices land, the same account shows an overrun that nothing in that month caused. §9.3 works this through, and the phantom is severe: a period index below 0.44 in a month where performance was actually near 0.93.

The accrual is driven by invoice date. An automated rule accrues everything with a document date in the period. Work received in the period but invoiced with a later document date is missed; work received later but invoiced early is included. The rule looks systematic and is systematically wrong.

Accruals are estimated by the person whose performance they affect. A control account manager who sizes their own accrual has an incentive to be conservative. Not fraudulently — but conservative in one direction, every month, and the cumulative effect is a project that always looks slightly better than it is until the final account.

Accruals are not reversed. The cost is counted twice when the invoice lands. Detected, if at all, by a reconciliation that nobody has time to do. Prevented by reversing journals and an accrual register.

Retention is treated as an accrual. Retention withheld from a certified valuation is a payment timing matter, not a cost timing matter — the cost was incurred and should be recognised in full. Treating retention as though it reduces cost understates the project and misstates the cash forecast.

Accrual accuracy is never measured. The register exists but the "actual when it landed" column is never filled in, so nobody knows whether the accruals are systematically low. This is the cheapest improvement available to most cost functions and the one most often left undone.

The cut-off is held open for a large invoice. Somebody notices that a significant invoice will arrive on the second and delays the close. The period is now longer than a month, the comparison to every other period is broken, and the precedent is established that cut-off is negotiable when the number is unhelpful.

— 9. Worked example

Illustrative figures. Generic currency units. One control account, monthly reporting cycle, values cumulative to the data date unless stated. Indices to three decimal places; currency to the nearest 1,000 where a rounded figure is presented. No real project, jurisdiction or accounting framework is implied — the treatment of any specific item follows the framework the entity reports under.

9.1 Month 9 at cut-off

Item	Value
Budget at completion (BAC)	5,600,000
Earned value at the data date (EV)	3,720,000
Invoices processed to date (ledger actuals)	3,140,000
Goods received not invoiced (from the goods-receipt report)	268,000
Subcontract work surveyed in the period, not yet certified or billed	412,000
Labour worked after the payroll extract: 1,850 hours at a blended 62 per hour	114,700

Timesheet accrual = $1,850 \times 62 = 114,700$
 Total accrual = $268,000 + 412,000 + 114,700 = 794,700$
 True actual cost = $3,140,000 + 794,700 = 3,934,700$

9.2 The same month, reported two ways

Writing actual cost as AC, the cost performance index as CPI and the cost variance as CV:

Without the accrual: $\text{CPI} = \text{EV} \div \text{AC} = 3,720,000 \div 3,140,000 = 1.185$
 $\text{CV} = \text{EV} - \text{AC} = 3,720,000 - 3,140,000 = +580,000$

 With the accrual: $\text{CPI} = \text{EV} \div \text{AC} = 3,720,000 \div 3,934,700 = 0.945$
 $\text{CV} = \text{EV} - \text{AC} = 3,720,000 - 3,934,700 = -214,700$

The index swings by $1.185 - 0.945 = \mathbf{0.240}$, twenty-four index points. The variance swings by $580,000 - (-214,700) = \mathbf{794,700}$, which is exactly the accrual — the arithmetic check that the two statements describe the same project.

What this does to the forecast. Forecasting on the assumption that performance to date persists — one method among several, and [BPG-09 – Estimate at completion](#) owns the choice — the estimate at completion (EAC) and variance at completion (VAC) diverge by more than the accrual itself:

Without the accrual: $EAC = BAC \div CPI = 5,600,000 \div 1.184713 = 4,727,000$
 $VAC = 5,600,000 - 4,727,000 = +873,000$ (an underrun)

With the accrual: $EAC = BAC \div CPI = 5,600,000 \div 0.945434 = 5,923,000$
 $VAC = 5,600,000 - 5,923,000 = -323,000$ (an overrun)

The forecast moves by $5,923,000 - 4,727,000 = \mathbf{1,196,000}$, which is $1,196,000 \div 5,600,000 = \mathbf{21.4\%}$ of budget at completion. One month's accruals, worth 794,700, change the project's forecast outcome from a 873,000 underrun to a 323,000 overrun. The unrounded indices are used in the divisions and the results rounded once, at the end.

9.3 The phantom overrun in month 10

In month 10 the 794,700 of month-9 accruals arrive as invoices, a further 690,000 of genuine month-10 work is incurred, and earned value rises by 640,000.

Cumulative actual cost = $3,140,000 + 794,700 + 690,000 = 4,624,700$
 Cumulative earned value = $3,720,000 + 640,000 = 4,360,000$

On the un-accrued path, month 9 reported cost of 3,140,000, so the period cost recorded in month 10 is everything since:

Period AC = $4,624,700 - 3,140,000 = 1,484,700$
 Period EV = 640,000
 Period CPI = $640,000 \div 1,484,700 = 0.431$

On the accrued path, the month-9 accrual reverses, the invoices replace it, and the month-10 accrual is booked. The period cost is the 690,000 genuinely incurred in month 10:

Period AC = 690,000
 Period EV = 640,000
 Period CPI = $640,000 \div 690,000 = 0.928$

Month 10 was a period of mildly disappointing performance — a period index of 0.928. The un-accrued report shows 0.431, which would in most organisations trigger an intervention, a recovery plan and a difficult conversation about a month in which nothing unusual happened.

And the cumulative index converges anyway. At month 10 the cumulative figure is the same under both treatments: $4,360,000 \div 4,624,700 = \mathbf{0.943}$. That is the trap. The cumulative index eventually tells the truth, which is why missing accruals so often go undetected — but every decision is taken on a period number, and the period number is destroyed. In month 9 the project was told it was 580,000 under budget. In month 10 it is told it has collapsed. Neither statement was true.

10. Checklist

Take this into the month-end close, or into the review of a period that produced a surprise.

Completeness

- [] Goods received not invoiced: pulled from the receipt records, or estimated? (It should never be estimated.)
- [] Subcontract work performed and not certified: has the quantity been surveyed, or assumed?
- [] Labour after the payroll extract: how many days, how many hours, at what rate?
- [] Plant hire, utilities, freight and professional services: is anything consumed and unbilled?
- [] Known credits, rejections and rate corrections: accrued in the correct direction?
- [] Is anything being accrued that has not actually been received? (That is a provision, and it belongs elsewhere.)

Basis and evidence

- [] For each accrual, which of the six sources in §4 was used, and is it recorded?
- [] Is any accrual sized by the person whose reported performance it affects?
- [] Is any accrual driven by document date rather than receipt date?
- [] Is retention being treated as a reduction in cost? (It is not one.)
- [] Is anything netted that should be reported gross?

Reversal

- [] Is there an accrual register with the period raised, the basis, the value and the reversal period?
- [] Have all prior-period accruals actually reversed?
- [] Is the "actual when it landed" column filled in, and what is the accrual accuracy trend?
- [] Which supplier or subcontract is consistently under-accrued, and why?

Cut-off

- [] Is the cut-off the same date for cost, goods receipts, timesheets, certification and schedule progress?
- [] Was the cut-off held open for anything this period? For what, and who authorised it?
- [] Was the accrual step compressed because the reporting deadline moved?
- [] Is there an agreed de minimis, written down, and is the total below it disclosed?

Reconciliation

- [] Does the project accrual reconcile to the finance accrual, with the difference explainable in one line?
- [] Has that difference been "timing" for more than two consecutive periods?
- [] Has the boundary between a controls accrual and a statutory provision been agreed with finance in writing?

— Related

- [BPG-01 – Building a project controls function from zero](#) — the cut-off calendar this depends on, and why it precedes reporting.
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- [BPG-03 – Cost breakdown structure and the code of accounts](#) — the transaction-state coding that makes commitment, accrual and actual separable.
- [BPG-06 – Progress measurement and rules of credit](#) — the earned value figure that the cost figure here is compared against.
- [BPG-08 – Earned value in practice](#) — how the indices in §9 are read and reported.
- [BPG-13 – Cash flow forecasting](#) — why accrual and payment timing must be kept distinct.
- [TPL-07 – Earned value calculation sheet](#) — the calculation, with the accrual input made explicit.

— Sources and standards

Drawn from the Institute's Body of Knowledge: Domain 5 (Cost Management and Cost Control) for the commitment-accrual-actual cycle and cost-to-date, Domain 1 (Foundations of Accounting for Project Controls) for accrual-basis recognition, and Domain 2 (Financial Reporting and the Standards) for the relationship between project cost records and statutory reporting.

Accounting standards are named where relevant and their principles described in the Institute's own words; no standard text, table or clause numbering is reproduced. The distinction between an accrual for goods or services already received and a provision for a liability of uncertain timing or amount is treated by frameworks such as IAS 37, and the recognition point, the materiality thresholds and any tax consequences vary by reporting framework and by jurisdiction. Nothing in this guide should be read as determining the accounting treatment of any item; that is a matter for the entity's finance function under the framework it reports under.

— Status and version

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